BRIEFING · BUDGET 2026 · ENERGY, CARBON AND TRADE

Budget 2026 and Northern Ireland business

The Budget of 28 October 2026 is built around energy costs. Manufacturers in Great Britain get a 20–25% electricity discount from April 2027. Northern Ireland gets funding for "a comparable scheme" with no design and no date. The same pattern runs through the VAT cut on electricity and the end of Carbon Price Support. This briefing sets out what changes for NI businesses, what carries across from Great Britain, and what to do before April.

IN NUMBERS

20–25%
electricity discount for 10,000+ GB manufacturers from 1 April 2027, with a back payment for 2026-27 (BICS, para 6.31)

0
details published of the "comparable scheme" the NI Executive is funded to deliver

£270m
extra for the NI Executive through the Barnett formula from Budget 2026 decisions (para 4.160)

1 Jan 2027
UK CBAM start date, unchanged. Global default values in 2027–28; country-specific from 2029 (para 6.217)

£18/tCO2
Carbon Price Support removed from GB generation from April 2028. It never applied in NI (para 4.25)

£490m
revenue forgone in 2029-30 by delaying energy from waste's entry to the UK ETS; no new date (Table 6.1, item 96)

WHY IT MATTERS

Three of the biggest measures stop at the Irish Sea

The British Industrial Competitiveness Scheme, the 0% VAT rate on domestic electricity and the removal of Carbon Price Support are all Great Britain measures. Northern Ireland's electricity levies, VAT rules under the Windsor Framework and carbon price under the EU Emissions Trading System are different, so none can be copied across. The Red Book answers each with a Barnett payment and a promise. For NI manufacturers competing with GB plants, the gap opens on 1 April 2027 and stays open until the Executive acts.

What does carry across is quieter but real: a Climate Change Levy freeze on electricity, a change to how the UK carbon border charge values imports, a proposal to bring refined fuels into it, a delay to carbon pricing on waste, and reformed capital allowances.

ENERGY

What GB gets, what NI gets, and what is UK-wide

MEASURE	GREAT BRITAIN	NORTHERN IRELAND
British Industrial Competitiveness Scheme (4.24, 6.31)	Exempts 10,000+ eligible manufacturers from indirect costs of the Renewables Obligation, Feed-in Tariffs and Capacity Market from 1 April 2027: a 20–25% cut in electricity bills, plus a 2026-27 back payment. Applications open.	**Not covered. Executive "being funded to deliver a comparable scheme." No design, eligibility or date.**
0% VAT on domestic electricity (3.4, 6.210)	In place since 1 Oct 2026; extended to 1 July 2027. Around £50 off the April 2027 price cap.	**GB only. Executive funded for "comparable support"; extended VAT relief "expected to apply in NI from April 2027."**
Carbon Price Support ends (4.25, 6.208)	Removed from April 2028: £18/tCO2 off fossil generation, £235m over five years.	**Never applied in NI. NI generation is in the EU ETS and pays the EU carbon price. No change.**
Climate Change Levy (6.209)	UK-wide. Main rate on electricity and LPG frozen from 1 April 2028 at 2027-28 levels; gas and solid fuels rise with RPI. Makes gas relatively dearer than electricity.	
Cost Control Framework (4.21, 6.28)	No new policy costs on bills until the framework is set at the 2027 spending review. Framework will set budgets for each component of energy costs.	
Gas Shipper Obligation scrapped (6.27)	Planned levy on gas bills to fund hydrogen will not be introduced; Exchequer pays.	Was a GB levy. Removes pressure to match it.
Workplace and public EV charging (6.205)	From 1 Nov 2026, electricity through workplace and public charge points is subject to 20% VAT and is not domestic use for CCL. Check the next bill if you host chargers.	
Fuel duty and red diesel (6.211, 6.212)	5p cut and freeze extended to 1 July 2027. Red diesel's 3.7p cut extended to the same date, then returns to its pre-2022 rate plus RPI. HGV £1 road tax to 30 June 2027.	
Standing charges (3.9)	Ofgem asked to abolish domestic gas standing charges by end-2027; electricity standing charge reform next year.	Ofgem does not regulate NI. A matter for the Utility Regulator and the Executive.

Shaded rows are the measures that stop at the Irish Sea.

The question for Stormont

An NI energy-intensive manufacturer will be paying full electricity levies from 1 April 2027 while a GB competitor pays 20–25% less. The Executive has the money. What it does not yet have is a scheme. Eligibility, the levies to be exempted, the back-payment and the start date are all open. The Department for the Economy should hear from affected firms, and from their trade bodies, before the Assembly rises for the May 2027 election.

CARBON BORDER CHARGE

UK CBAM: the start date holds, the detail moves

The UK Carbon Border Adjustment Mechanism starts on 1 January 2027 on imports of aluminium, cement, fertiliser, hydrogen, iron and steel once in-scope imports pass £50,000. The first return and payment, for the whole of 2027, is due by 31 May 2028. The Budget changes two things.

Default values: global for 2027 and 2028, country-specific from 2029 (6.217). HMRC guidance lets an importer use either actual verified emissions from the producer or the government's published default value for the good. For the first two years the default is one global figure per good, whatever the origin. From 2029 it will reflect the exporting country's emissions. The practical effect:

- Buying from a high-carbon origin (much Chinese or Indian steel, for instance): the global default may be the cheaper option until 2029, then country-specific values will push the charge up. Build the 2029 step into contracts now.
- Buying from a cleaner supplier (EU mills on hydro or EAF routes): verified data will usually beat the default from day one. Ask for it now; it takes months to get right.
- Either way, run both calculations for every CBAM commodity code you import from outside the UK and keep the workings. The answer may flip in 2029.

Refined products proposed for the scope (4.86, 6.218). The government "intends to expand the scope of the CBAM to include refined products, subject to consultation on the feasibility and impacts." The stated aim is to protect refineries in Pembrokeshire, Cheshire, Hampshire and the Humber. Northern Ireland has no refinery and imports all of its petrol, diesel, kerosene and heating oil. An NI fuel importer or distributor could therefore become a CBAM registrant with no change to its business. The consultation is the place to make that case, and to ask how the charge would sit beside the EU's own CBAM for fuel moving across the land border.

What the Budget does not say. Nothing on the EU CBAM, the Corporate Sustainability Reporting Directive, or linking the UK and EU emissions trading schemes. For NI exporters the position is unchanged: the EU customer is the EU declarant and will keep asking for embedded-emissions data per tonne. The Red Book's praise for NI's "dual access to the UK internal market and EU market" (4.159) does not mention that dual access also means two carbon border regimes.

BACK-FEED

What flows between GB and NI

- **GB importers** face the same default-value choice. A GB group with an NI plant should run the sums at group level: the NI plant's imports count towards the same £50,000 threshold if the same legal entity imports them.
- **NI firms selling into GB** are not CBAM importers, but a GB customer who later re-exports to the EU will want the embedded-emissions figure.
- **Fertiliser.** Tariffs suspended to 31 December 2027 (6.30), carbon charge from 1 January 2027. An NI importer pays no tariff and a CBAM charge on the same bag.

WASTE AND PACKAGING

A delay for incinerators, a rise in Landfill Tax, certification for recycled plastic

- **Energy from waste stays out of the UK ETS for now.** Table 6.1 (item 96) scores the "delay of the inclusion of energy from waste in the ETS" at £125m in 2028-29, £490m in 2029-30 and £450m the year after. DESNZ had already dropped the 2028 start date in August 2026; the Red Book gives no replacement. For councils and waste contractors this removes, for now, a carbon charge on residual waste that was due to feed into gate fees from 2028. Any residual-waste cost model built on a 2028 ETS charge needs re-running, in NI and GB alike.
- **Landfill Tax** rises by RPI in England and Northern Ireland; the lower rate rises by the same cash amount so the gap does not widen (6.221). Scotland and Wales set their own rates.
- **Landfill Communities Fund.** Operators can claim credit on up to 8.3% of their Landfill Tax liability, up from 5.3% (6.222).
- **Illegal waste sites.** Defra is funded for Landfill Tax on six site clearances in England, and a three-year pilot from 2027 covers councils' liabilities on clearances (6.223, 6.224). Nothing equivalent is announced for NI, where the same liability arises.
- **Plastic Packaging Tax.** From 1 April 2030, mechanically recycled plastic must be certified to count towards the 30% recycled-content threshold (6.220). Packers and converters relying on supplier declarations have three years to switch to certified material.

INVESTMENT AND TRADE

Allowances, tariffs and lighter reporting

- **Capital allowances** (2.54, 6.251). Main-rate first-year allowance up from 40% to 50% for spending from 1 January 2027. Writing-down allowance cut by two points to 12% from April 2027. Full expensing stays for companies. For sole traders and partnerships, who cannot use full expensing, long-life plant is slower to write off. If you planned to buy efficiency kit, the date of the order now matters.
- **Tariff suspensions** (6.30, 6.32). Fertiliser to 31 December 2027; kerosene heating oil to 31 December 2028, both aimed explicitly at rural and NI households and farms. Existing suspensions across chemicals, plastics, hydrogen and automotive extended. New application window 11 November 2026 to 3 February 2027.
- **Company reporting** (4.52, 4.53). Up to £290m a year of savings expected from "a more proportionate company reporting framework"; a Better Regulation Executive is being set up in the Treasury. UK statutory disclosure is getting lighter while customers, lenders and EU buyers ask for more environmental data. The report was never the point; the data behind it is.
- **Critical Chemicals Resilience Fund** (6.92). £350m for strategically important chemicals sites, launching by end-2026.
- **Northern Ireland lines** (4.158–4.160). £270m extra for the Executive via Barnett; £7.5m for Queen's University's Cyber AI Hub; £1m for an NI Investment Summit; the £50m Defence Growth Deal and Enhanced Investment Zone already in delivery.

WHAT TO DO

Five actions before April 2027

01 **Put the electricity scheme question to Stormont in writing.**

If you are an energy-intensive manufacturer, tell the Department for the Economy what the GB scheme would be worth to a competitor and what you need from an NI equivalent: which levies, from when, and whether a back payment follows. Go through your trade body as well as directly. The Assembly's last sitting day before the election is in March 2027.

02 **Run the CBAM default-value calculation both ways.**

For every CBAM commodity code imported from outside the UK: the 2027-28 global default against your suppliers' verified figures. Keep both workings and note which suppliers will look worse under country-specific values from 2029.

03 **Respond to the refined-products consultation if you import or distribute fuel.**

NI's position, with no refinery and a land border with the EU CBAM, is unlike anywhere else in the UK. Say so before the scope is fixed.

04 **Check the timing of planned plant purchases.**

Spending from 1 January 2027 attracts the 50% first-year allowance; writing-down falls to 12% from April. Sole traders and partnerships are affected most.

05 **Re-run residual-waste and gate-fee models**

without a 2028 UK ETS charge, and set a watch for a new date. Councils, contractors and anyone with a long-term disposal contract.

SELF-EMPLOYED

Three lines for sole traders and small practices

- **Mileage.** Tax-free rate permanently 55p for the first 10,000 business miles and 35p above (6.213).
- **Making Tax Digital for income tax.** Anyone joining in April 2027 gets no late-submission penalty points on their first four quarterly updates for 2027-28 (6.152).
- **Business Asset Disposal Relief.** Lifetime limit halves to £500,000 for disposals from 6 April 2027 (6.261). Expect some NI owner-managed business sales to be brought forward.

NOT IN THE BUDGET

What NI businesses are still waiting for

- The design and date of the NI electricity cost scheme.
- The mechanism and date for NI's VAT relief on domestic electricity.
- Any new date for energy from waste in the UK ETS.
- Any word on UK–EU ETS linking, which would remove CBAM charges between the two.
- Any equivalent in NI to Defra's illegal-waste-site Landfill Tax funding.

SOURCES

Primary sources

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gov.wales/uk-emissions-trading-scheme-scope-expansion-waste

Facts checked on 30 October 2026 against the sources above. No energy-broker or commercial-intermediary sources are used. Where the Red Book is silent (the NI electricity scheme design, the NI VAT mechanism, a new ETS date for waste) this briefing says so rather than guessing. This is general information, not advice on your tax position; take advice on specific transactions.

About this briefing

Briefing 02 in a series on environmental, carbon and public-affairs issues for Northern Ireland businesses, councils and public bodies. Briefing 01, *Built for Yesterday's Weather*, covered public-realm investment and climate impacts.

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